

Chapter One

Introduction to Accounting

LEARNING OBJECTIVES

After studying this chapter, you should be able to:

- 1 Explain what accounting is.
- 2 Identify the users and uses of accounting.
- 3 Explain accounting standards and measurement principles.
- 4 Explain the monetary unit assumption and the economic entity assumption.
- 5 Explain the career opportunities in accounting.
- 6 State the accounting equation, and define its components.
- 7 Analyze effects of business transactions on the accounting equation.
- 8 Understand the four FS's and how they are prepared.

1.1.

What is Accounting?

Accounting consists of three basic activities—it

- ◆ identifies,
- ◆ records, and
- ◆ communicates

the **economic events** of an organization to interested users.

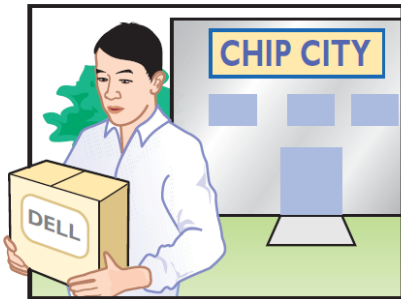
- As a starting point to the accounting process, a company **identifies** the **economic events** relevant to its business. Examples of **economic events** are the sale of goods, the providing of telephone services ...
- Once a company identifies economic events, it **records** those **events** in order to provide a history of its financial activities.
- **Recording** consists of keeping a **systematic, chronological diary of events, measured in monetary units**.
- In recording, the company also **classifies** and **summarizes** economic events.
- Finally, the company **communicates** the collected information to interested users by means of **accounting reports**. The most common of these reports are called FS's

Three Activities

Illustration 1-1

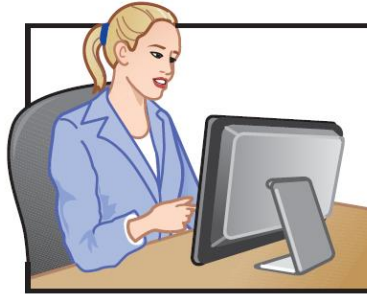
The activities of the accounting process

Identification



Select economic events (transactions)

Recording



Record, classify, and summarize

Communication



Prepare accounting reports



Analyze and interpret for users

The accounting process includes the **bookkeeping** function.

Who Uses Accounting Data?

- There are two broad groups of users of financial information: **internal users** and **external users**.

1) INTERNAL USERS

- **Internal users** of accounting information are **managers** who plan, organize, and run the business. These include **marketing managers, production supervisors, finance directors, and company officers**.
- **Managerial Accounting** provides internal reports to help users make decisions about their companies.
- **Examples** are financial comparisons of operating alternatives, projections of income from new sales campaigns, & forecasts of cash needs for the next year.

INTERNAL USERS



Marketing

What price for a **Nokia** cell phone will maximize the company's net income?



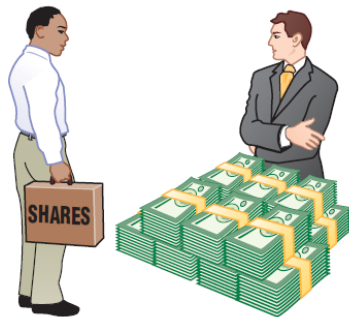
Snack chips



Beverages

Management

Which **PepsiCo** product line is the most profitable? Should any product lines be eliminated?



Finance

Is cash sufficient to pay dividends to **SAP** shareholders?



Human Resources

Can we afford to give **Toyota** employees pay raises this year?



Illustration 1-2

Questions that internal users ask

2) EXTERNAL USERS

- **External users** are individuals and organizations outside a company who want financial information about the company.
- The **two** most common types of external users are **investors** and **creditors**.
- **Investors (owners)** use accounting information to make decisions to buy, hold, or sell ownership shares of a company.
- **Creditors (such as suppliers & bankers)** use accounting information to evaluate the risks of granting credit or lending money.
- **Financial Accounting** provides economic and financial information for investors, creditors, and others.

EXTERNAL USERS



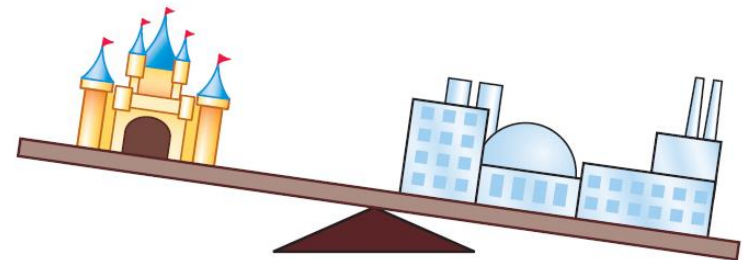
Investors

Is **Royal Dutch Shell** earning satisfactory income?



Creditors

Will **Singapore Airlines** be able to pay its debts as they come due?



Investors

How does **Disney** compare in size and profitability with **Time Warner**?

Illustration 1-3

Questions that external users ask



DO IT!

Indicate whether the following statements are **true** or **false**.

1. The three steps in the accounting process are identification, recording, and communication.
2. Bookkeeping encompasses all steps in the accounting process.
3. Accountants prepare, but do not interpret, financial reports.
4. The two most common types of external users are investors and company officers.
5. Managerial accounting activities focus on reports for internal users.

1.2. Accounting Standards, Measurement Principles & Assumptions

Accounting Standards

- In order to ensure **high-quality** financial reporting, accountants present FS's in conformity with accounting standards that are issued by **standard setting bodies**.
- Presently, there are **two primary accounting standard-setting bodies**—the **IASB** and **FASB**.
- More than **140** countries follow standards referred to **IFRS**.
- **IFRS's** are determined by the IASB. The IASB is headquartered in **London**, with its 15 board members drawn from around the world.

- Most companies in the US follow standards issued by the **FASB**, referred to as **GAAP**.
- As markets become **more global**, it is often desirable to compare the results of companies from different countries that report using different accounting standards.
- In order to increase comparability, in recent years the two standard-setting bodies have made efforts to reduce the differences between IFRS and U.S. GAAP.
- This process is referred to as **convergence**.
- As a result of these **convergence efforts**, it is likely that someday there will be **a single set of high-quality accounting standards** that are used by companies around the world.

International Accounting Standards Board (IASB) <http://www.iasb.org/>



International Financial
Reporting Standards



Financial Accounting Standards Board (FASB) <http://www.fasb.org/>

Generally Accepted Accounting Principles (GAAP)

Measurement Principles

- IFRS generally uses one of **two** measurement principles, the **historical cost principle** or the **fair value principle**.
- The selection of which principle to follow generally relates to **trade-offs** between **relevance** & **faithful representation**.
- **Relevance** means that financial information is capable of making a difference in a decision.
- **Faithful representation** means that the numbers and descriptions match what really existed or happened—they are factual.

1) HISTORICAL COST PRINCIPLE (or Cost Principle)

- It dictates that companies record assets at **their cost**.
- This is true not only at the time the asset is purchased, but also over the time the asset is held.

2) FAIR VALUE PRINCIPLE

- It states that assets and liabilities should be reported at **fair value** (the price received to sell an asset or settle a liability).

- Fair value information may be more useful than HC for certain types of assets and liabilities.
- For example, certain investment securities are reported at FV because market value information is usually readily available for these types of assets.
- In determining which measurement principle to use, companies weigh the **factual nature of cost figures** versus the **relevance of fair value**.
- In general, even though IFRS allows companies to revalue PPE and other long-lived assets to FV, most companies choose to use **cost**. Only in situations where assets are actively traded, such as investment securities, do companies apply the FV principle extensively.

Assumptions

- Assumptions provide a foundation for the accounting process.
- Two main assumptions are the **monetary unit assumption** and the **economic entity assumption**.

1) MONETARY UNIT ASSUMPTION

- The **monetary unit assumption** requires that companies include in the accounting records only transaction data that can be expressed in **money** terms.
- This assumption enables accounting to quantify (measure) economic events.
- The monetary unit assumption is vital to applying the **historical cost principle**.

- This assumption prevents the inclusion of some relevant information in the accounting records.
- **For example**, the **health of a company's owner**, the **quality of service**, and the **morale of employees** are **not included**.
- **The reason:** Companies cannot quantify this information in money terms.

Brazil, real	R\$	South Africa, rand	R
China, yuan renminbi	¥	South Korea, won	₩
Europe, euro	€	Switzerland, Swiss franc	CHF
Hong Kong, dollar	HK\$	Taiwan, new dollar	NT\$
India, rupee	Rs	Turkey, lira	₺
Indonesia, rupia	Rp	United Kingdom, pound	£
Japan, yen	¥	United States, dollar	\$
Russia, ruble	py6		

2) ECONOMIC ENTITY ASSUMPTION

- It requires that activities of the entity be kept **separate** and **distinct** from the activities of its owner and all other economic entities.

- ◆ Proprietorship
- ◆ Partnership
- ◆ Corporation



**Forms of Business
Ownership**

Proprietorship

- ◆ Owned by **one** person
- ◆ Owner is often **manager/operator**
- ◆ Owner receives **any profits**, suffers **any losses**, and is personally **liable** for all debts.

Partnership

- ◆ Owned by **two** or **more** persons
- ◆ Often **retail** and **service-type** businesses
- ◆ Generally **unlimited** **personal liability**
- ◆ Partnership agreement

Corporation

- ◆ Ownership divided into **shares**
- ◆ Separate legal entity organized under **corporation law**
- ◆ **Limited liability**

Question #1

The historical cost principle states that:

- a. Assets should be initially recorded at cost and adjusted when the fair value changes.
- b. Activities of an entity are to be kept separate and distinct from its owner.
- c. Assets should be recorded at their cost.
- d. Only transaction data capable of being expressed in terms of money be included in the accounting records.



DO IT!

Indicate whether each of the following statements presented below is **true** or **false**.

1. Convergence refers to efforts to reduce differences between IFRS and U.S. GAAP.
2. The primary accounting standard-setting body headquartered in London is the International Accounting Standards Board (IASB).
3. The historical cost principle dictates that companies record assets at their cost. In later periods, however, the fair value of the asset must be used if fair value is higher than its cost.



DO IT!

Indicate whether each of the following statements presented below is **true** or **false**.

4. Relevance means that financial information matches what really happened; the information is factual.
5. A business owner's personal expenses must be separated from expenses of the business to comply with accounting's economic entity assumption.

1.3. Accounting Career Opportunities

Public Accounting

Careers in auditing, taxation, and management consulting serving the general public.

Governmental Accounting

Careers with the tax authorities, law enforcement agencies, and corporate regulators.

Private Accounting

Careers in industry working in cost accounting, budgeting, accounting information systems, and taxation.

Forensic Accounting

Uses accounting, auditing, and investigative skills to conduct investigations into theft and fraud.

1.4.

The Basic Accounting Equation

Basic Accounting Equation

- ◆ Provides the **underlying framework** for recording and summarizing economic events.
- ◆ Assets **must** equal the sum of liabilities and equity.

Assets

=

Liabilities

+

Equity

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Equity}}$$

Assets

- ◆ Resources a business owns.
- ◆ Provide future services or benefits.
- ◆ Cash, Inventory, Equipment, etc.

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Equity}}$$

Liabilities

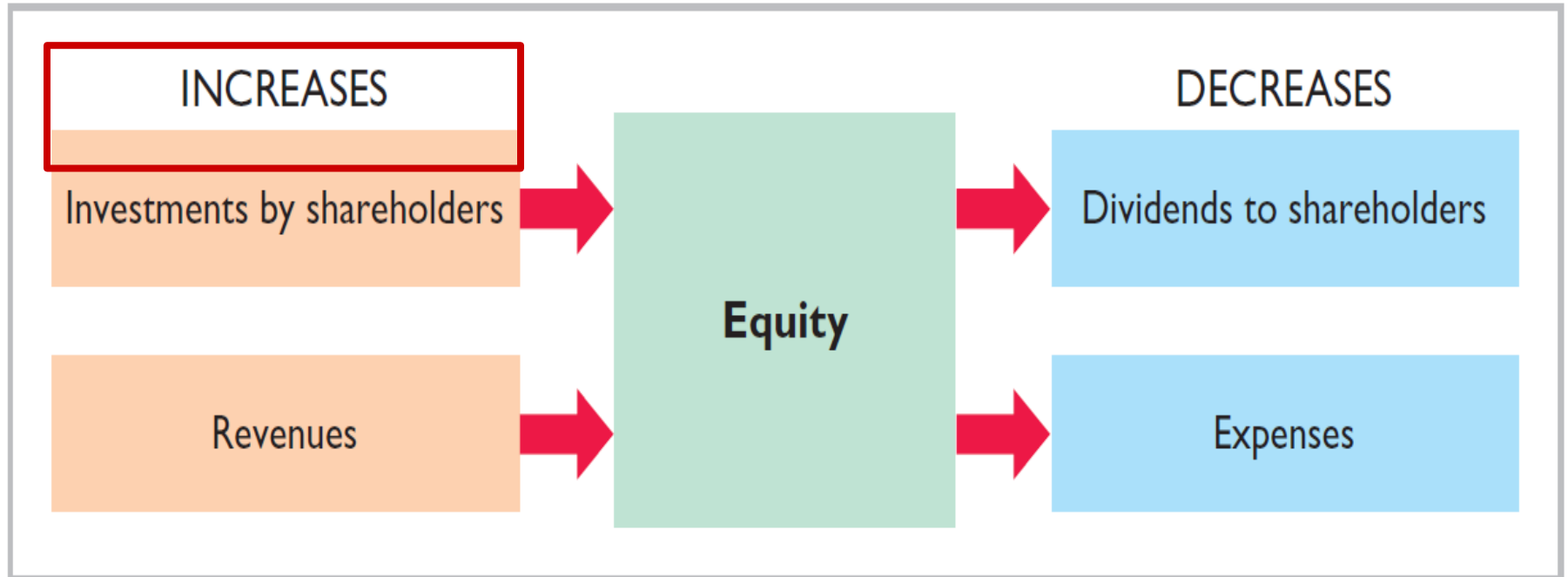
- ◆ Claims against assets (debts and obligations).
- ◆ Creditors (party to whom money is owed).
- ◆ Accounts Payable, Notes Payable, Salaries and Wages Payable, etc.

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Equity}}$$

Equity

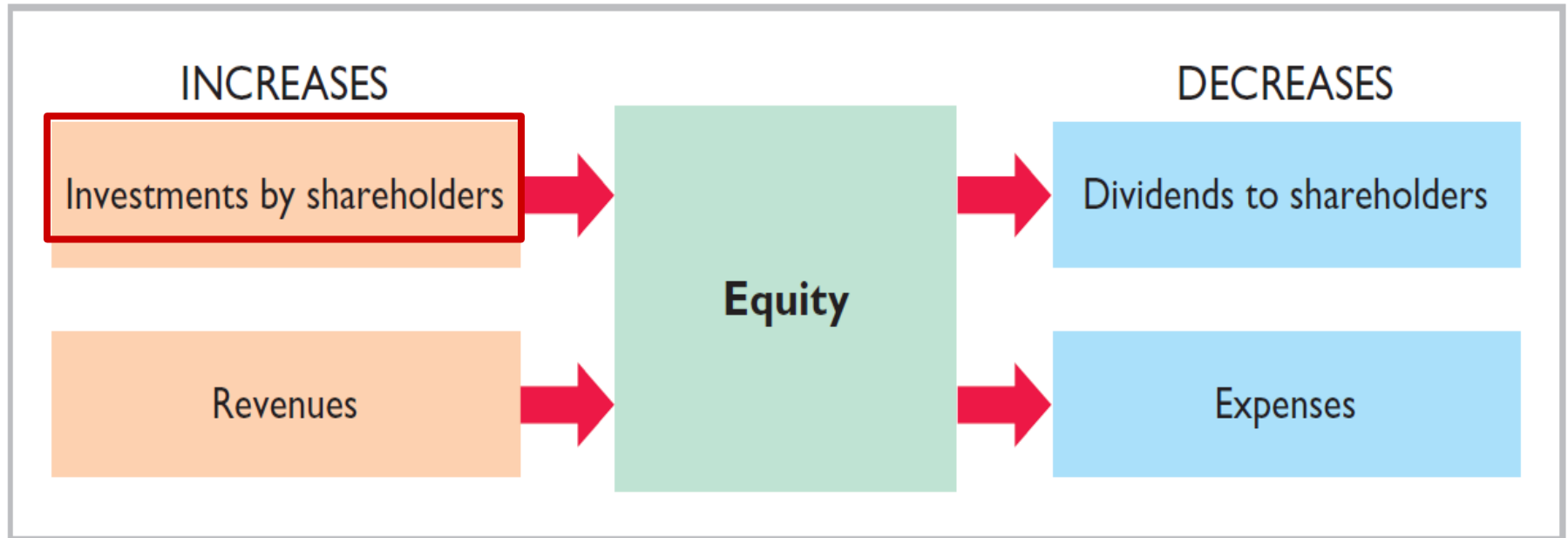
- ◆ Ownership claim on total assets.
- ◆ Referred to as **residual equity**.
- ◆ **Share Capital—Ordinary** and **Retained Earnings**.

Illustration 1-7: Increases and Decreases in Equity



Investments by shareholders represent the total amount paid in by shareholders for the ordinary shares they purchase.

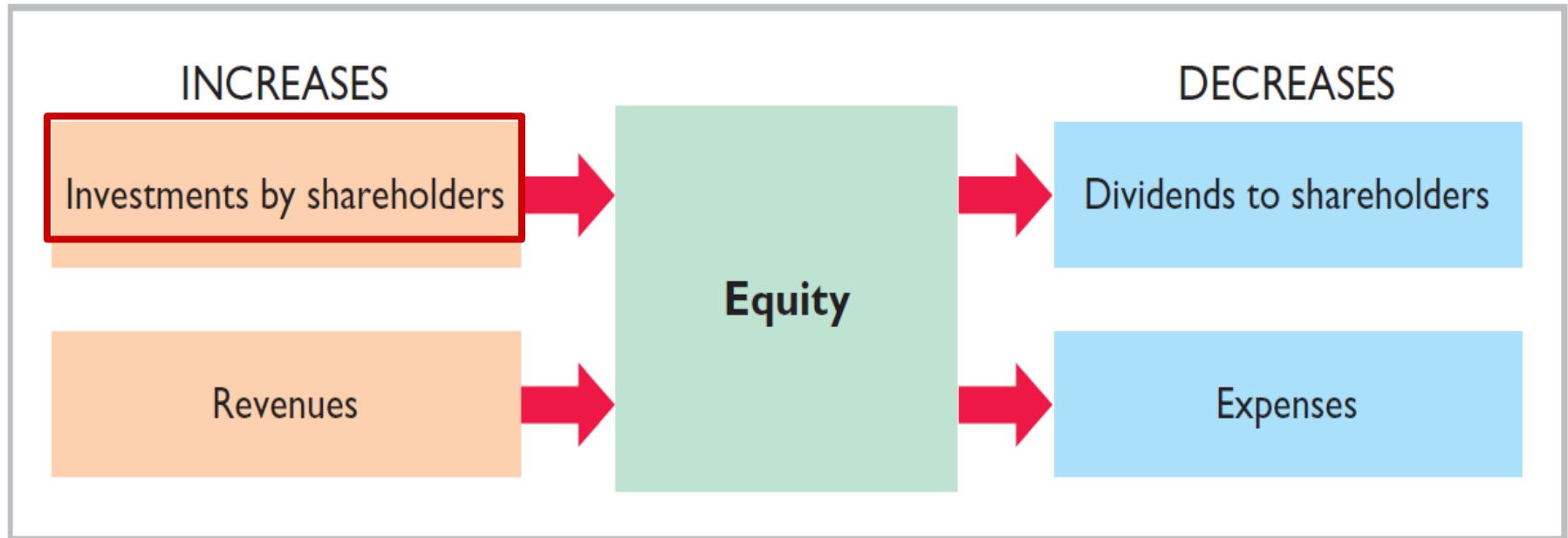
Illustration 1-7: Increases and Decreases in Equity



Revenues result from business activities entered into for the purpose of earning income.

Common sources of revenue are: sales, fees, services, commissions, interest, dividends, royalties, and rent.

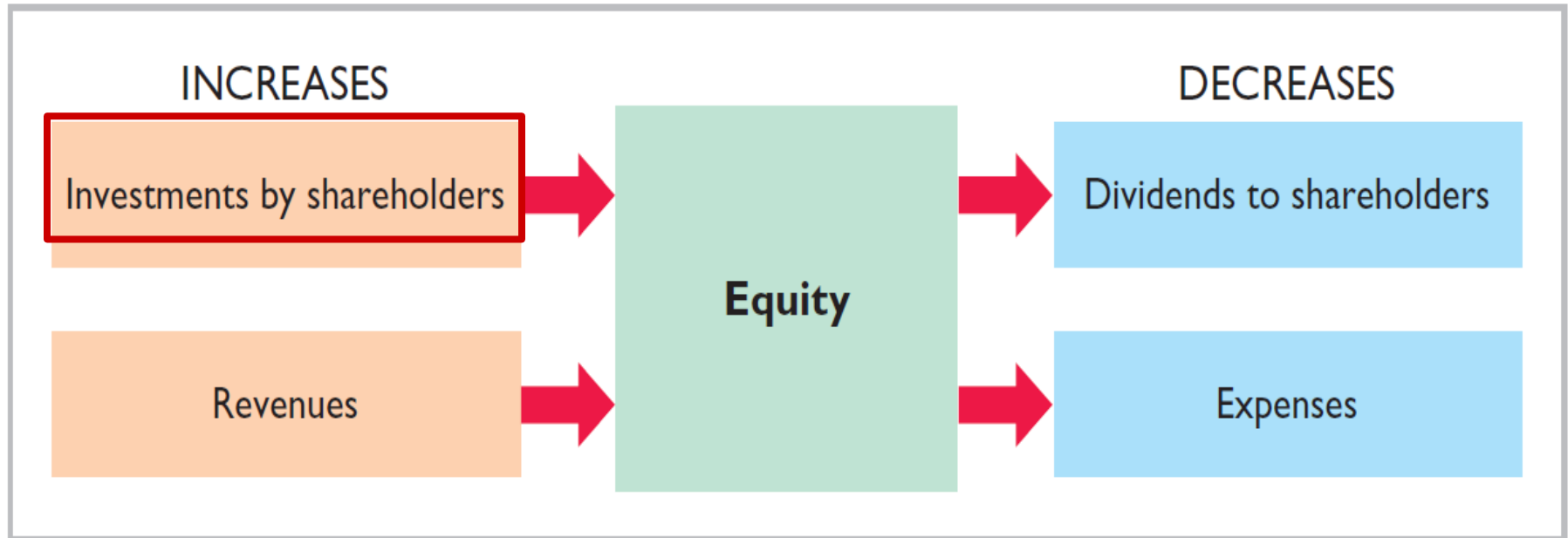
Illustration 1-7: Increases and Decreases in Equity



Expenses are the cost of assets consumed or services used in the process of earning revenue.

Common expenses are: salaries expense, rent expense, utilities expense, property tax expense, etc.

Illustration 1-7: Increases and Decreases in Equity



Dividends are the distribution of cash or other assets to shareholders.

Dividends reduce retained earnings. However, dividends are **not expenses**.



DO IT!

Classify the following items as **issuance of stock**, **dividends**, **revenues**, or **expenses**. Then indicate whether each item **increases** or **decreases** stockholders' equity.

Classification

Effect on Equity

1. Rent Expense
2. Service Revenue
3. Dividends
4. Salaries and Wages Expense

1.5. Using the Accounting Equation

Transactions are a business's economic events recorded by accountants.

- ◆ May be **external** or **internal**.
- ◆ Not all activities represent transactions.
- ◆ Each transaction has a dual effect on the accounting equation.

Illustration: Are the following events recorded in the accounting records?

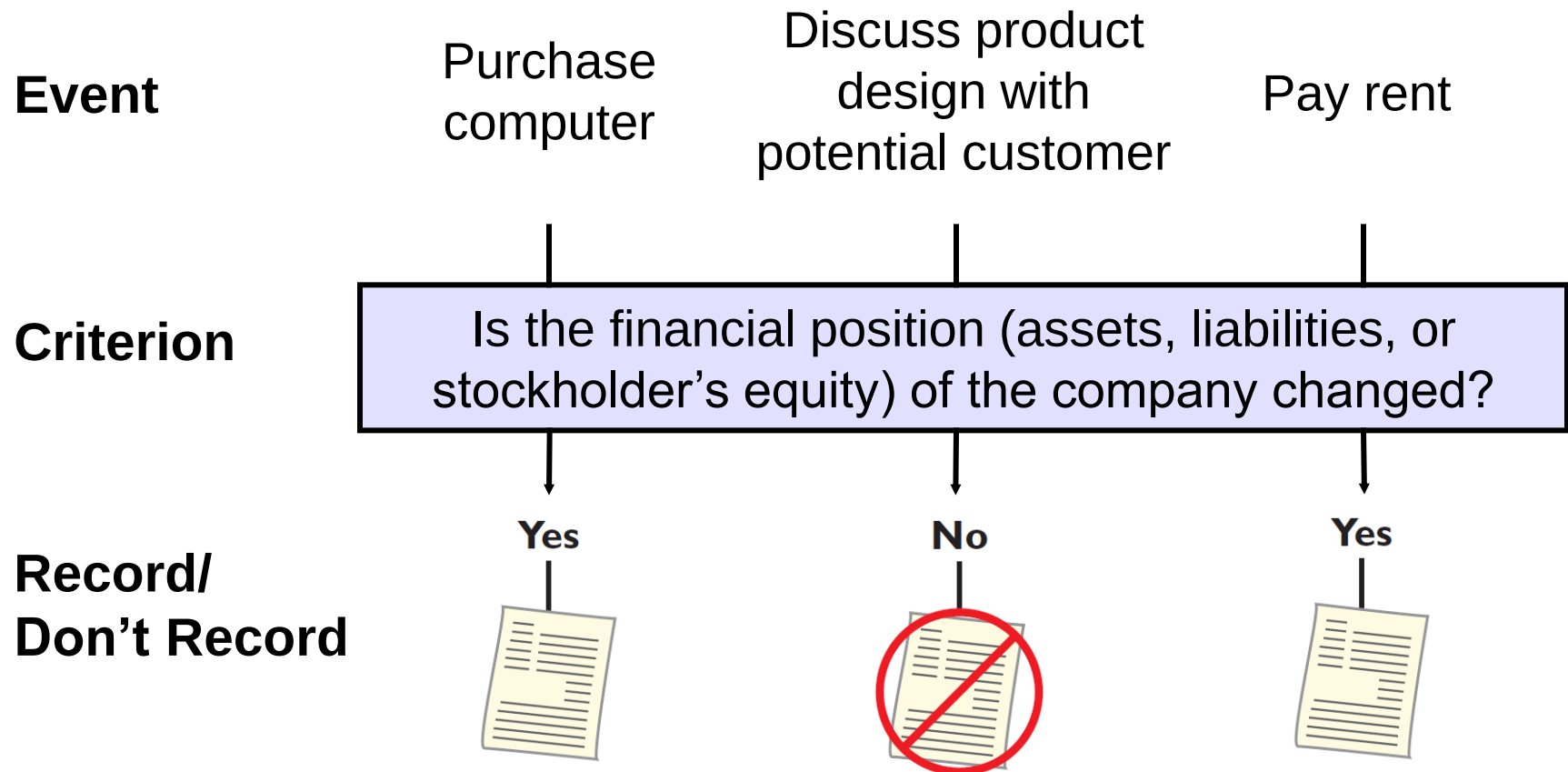
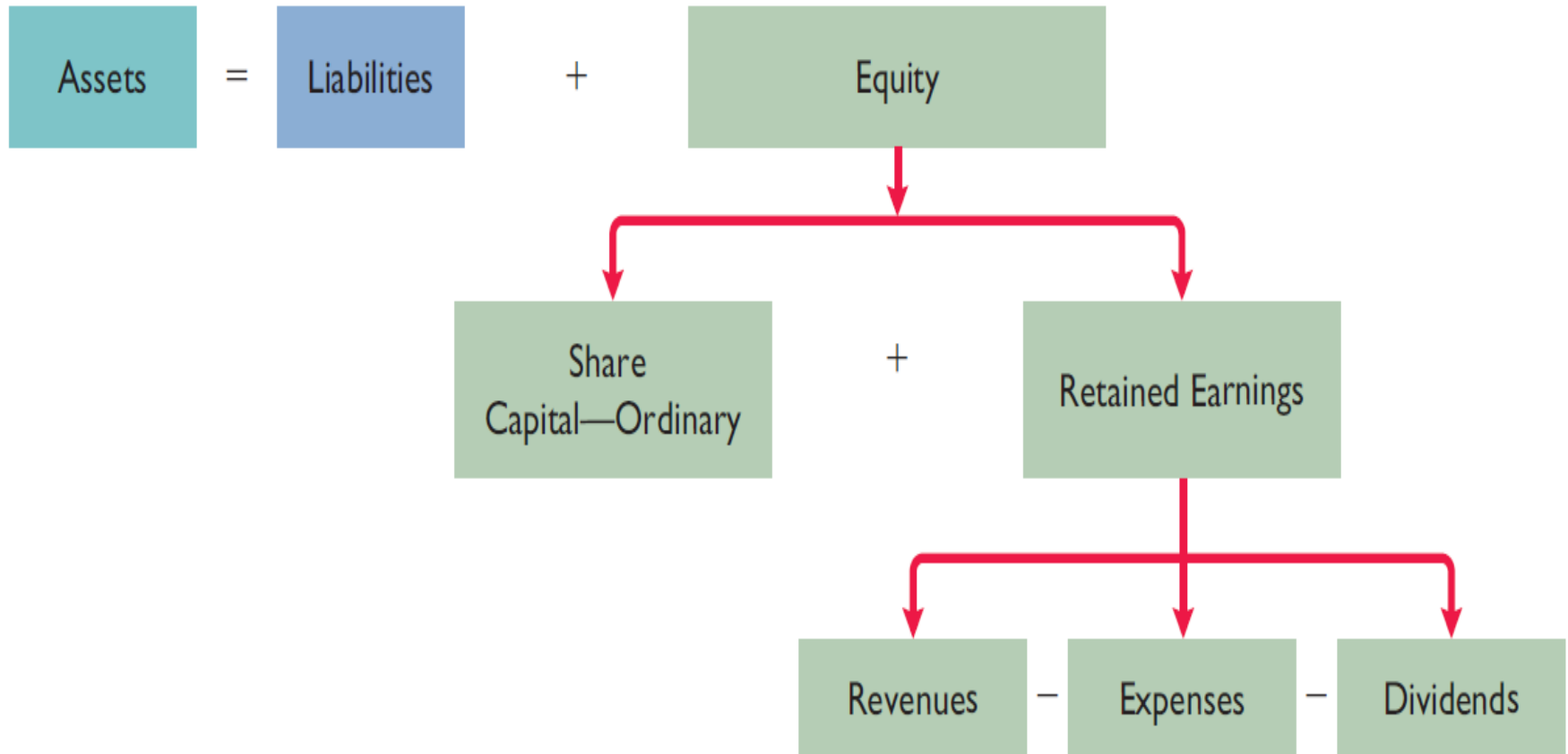


Illustration 1-8

Transaction-identification process

Illustration 1-9

Expanded Accounting Equation



TRANSACTION 1. INVESTMENT BY STOCKHOLDERS Ray and Barbara Neal decide to start a computer programming company that they incorporate as Softbyte Inc. On September 1, 2014, they invest **€15,000 cash** in the business in exchange for **€15,000 of ordinary shares**. The ordinary shares indicates the ownership interest that the Neals have in Softbyte SA. This transaction results in an equal increase in both assets and equity.

Trans- action	Assets				= Liabilities +	Equity				
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				

TRANSACTION 2. PURCHASE OF EQUIPMENT FOR CASH

Softbyte Inc. purchases computer equipment for €7,000 cash.

Trans- action	Assets				= Liabilities +	Equity				
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						

TRANSACTION 3. PURCHASE OF SUPPLIES ON CREDIT Softbyte Inc. purchases for €1,600 computer paper & other supplies expected to last several months. The supplier allows Softbyte to pay this bill in October.

Trans- action	Assets				= Liabilities +		Equity			
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					

TRANSACTION 4. SERVICES PERFORMED FOR CASH Softbyte Inc. receives **€1,200 cash** from customers for programming services it has provided.

Trans- action	Assets				= Liabilities +		Equity			
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200						+1,200			

TRANSACTION 5. PURCHASE OF ADVERTISING ON CREDIT Softbyte receives a **bill for €250** from the *Daily News* for advertising but postpones payment until a later date.

Trans- action	Assets				=	Liabilities +		Equity			
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	=	Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000						+15,000				
2.	-7,000			+7,000							
3.			+1,600			+1,600					
4.	+1,200							+1,200			
5.						+250				-250	

TRANSACTION 6. SERVICES PROVIDED FOR CASH AND CREDIT.

Softbyte Inc provides **€3,500** of programming services for customers. The company receives **cash of €1,500** from customers, and it bills the balance of **€2,000 on account**.

Trans- action	Assets				= Liabilities +		Equity			
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200						+1,200			
5.					+250			-250		
6.	+1,500	+2,000					+3,500			

TRANSACTION 7. PAYMENT OF EXPENSES Softbyte pays the following expenses in cash for September: Store rent **€600**, salaries and wages of employees **€900**, and utilities **€200**.

[illegible]

TRANSACTION 8. PAYMENT OF ACCOUNTS PAYABLE Softbyte **pays its €250 Daily News bill** in cash. The company previously (in Transaction 5) recorded the bill as an increase in Accounts Payable and a decrease in equity.

Trans- action	Assets				= Liabilities +	Equity				
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200						+1,200			
5.					+250				-250	
6.	+1,500	+2,000					+3,500			
7.	-1,700								-600	
									-900	
									-200	
8.	-250				-250					

TRANSACTION 9. RECEIPT OF CASH ON ACCOUNT Softbyte receives €600 in cash from customers who had been billed for services (in Transaction 6).

Trans- action	Assets				= Liabilities +		Equity			
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	= Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000					+15,000				
2.	-7,000			+7,000						
3.			+1,600		+1,600					
4.	+1,200						+1,200			
5.					+250			-250		
6.	+1,500	+2,000					+3,500			
7.	-1,700								-600	
									-900	
									-200	
8.	-250				-250					
9.	+600	-600								

TRANSACTION 10. DIVIDENDS The corporation pays a dividend of **€1,300 in cash** to **Ray and Barbara Neal**, the shareholders of Softbyte Inc.

Trans- action	Assets				=	Liabilities +		Equity		
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	=	Accounts Payable	+ Share Capital	+ Retained Earnings Rev. -	Exp. -	Div.
1.	+15,000						+15,000			
2.	-7,000			+7,000						
3.			+1,600			+1,600				
4.	+1,200							+1,200		
5.						+250			-250	
6.	+1,500	+2,000						+3,500		
7.	-1,700								-600	
									-900	
									-200	
8.	-250					-250				
9.	+600	-600								
10.	-1,300									-1,300
	€8,050	+ €1,400	+ €1,600	+ €7,000	=	€1,600	+ €15,000	+ €4,700	- €1,950	- €1,300
	€18,050					€18,050				

Summary of Transactions

1. Each transaction must be analyzed in terms of its effect on:
 - a. The three components of the basic accounting equation.
 - b. Specific types (kinds) of items within each component.
2. The two sides of the equation must always be equal.
3. The Share Capital—Ordinary and Retained Earnings columns indicate the causes of each change in the shareholders' claim on assets.

Illustration 1.10: Tabular Summery of Softbyte Inc. Transactions

Trans- action	Assets				=	Liabilities +		Equity			
	Cash	+ Accounts Receivable	+ Supplies	+Equipment	=	Accounts Payable	+ Share Capital	+ Retained Earnings Rev.	- Exp.	- Div.	
1.	+15,000						+15,000				
2.	-7,000			+7,000							
3.			+1,600			+1,600					
4.	+1,200							+1,200			
5.						+250				-250	
6.	+1,500	+2,000						+3,500			
7.	-1,700									-600	
										-900	
										-200	
8.	-250					-250					
9.	+600	-600									
10.	-1,300										-1,300
	€8,050	+ €1,400	+ €1,600	+ €7,000	=	€1,600	+ €15,000	+ €4,700	- €1,950	- €1,300	
	€18,050					€18,050					



DO IT!

Transactions made by **Virmari & Co.**, a public accounting firm, for the month of August are shown below. Prepare a tabular analysis which shows the effects of these transactions on the expanded accounting equation, similar to that shown in Illustration 1-10.

1. The company issued ordinary shares for €25,000 cash.
2. The company purchased €7,000 of office equipment on credit.
3. The company received €8,000 cash in exchange for services performed.
4. The company paid €850 for this month's rent.
5. The company paid a dividend of €1,000 in cash to shareholders.



DO IT!

Solution:

Trans- action	Assets		=	Liabilities +		Equity			
	Cash	+ Equipment	=	Accounts Payable	+ Share Capital	+ Retained Earnings	Rev.	- Exp.	- Div.
1.	+25,000				+25,000				
2.		+7,000		+7,000					
3.	+8,000					+8,000			
4.	-850							-850	
5.	-1,000								-1,000
	\$31,150	+ \$7,000	=	\$7,000	+ \$25,000	+ \$8,000	- \$850	- \$1,000	
	\$38,150			\$38,150					

1.6. Financial Statements

- ◆ Companies prepare **four** financial statements from the summarized accounting data:
- ◆ An **IS** presents the **revenues** and **expenses** and resulting **Net Income** or **Net Loss** for a specific period of time.
- ◆ A **RE's statement** summarizes the changes in retained earnings for a specific period of time.
- ◆ A **SoFP** (sometimes referred to as **a balance sheet**) reports the **assets**, **liabilities**, and **equity** of a company at a **specific date**.
- ◆ A **SCF** summarizes information about the **cash inflows** and **cash outflows** for a specific period of time.
- ◆ These statements provide **relevant** financial data for **internal** and **external users**.

SOFTBYTE SA
Income Statement
For the Month Ended September 30, 2017

Revenues		
Service revenue		€ 4,700
Expenses		
Salaries and wages expense	€900	
Rent expense	600	
Advertising expense	250	
Utilities expense	<u>200</u>	
Total expenses		<u>1,950</u>
Net income		<u>€2,750</u>

SOFTBYTE SA
Retained Earnings Statement
For the Month Ended September 30, 2017

Retained earnings, September 1	€ 0
Add: Net income	2,750
	<u>2,750</u>
Less: Dividends	<u>1,300</u>
Retained earnings, September 30	<u>€1,450</u>

Illustration 1-11: Financial Statements and their Interrelationships

SOFTBYTE SA
Retained Earnings Statement
For the Month Ended September 30, 2017

Retained earnings, September 1	€ 0
Add: Net income	2,750
	<u>2,750</u>
Less: Dividends	<u>1,300</u>
Retained earnings, September 30	<u>€1,450</u>

SOFTBYTE SA
Statement of Financial Position
September 30, 2017

Assets

Equipment	€ 7,000
Supplies	1,600
Accounts receivable	1,400
Cash	8,050
	<u>€18,050</u>
Total assets	<u><u>€18,050</u></u>

Equity and Liabilities

Equity		
Share capital—ordinary	€15,000	
Retained earnings	<u>1,450</u>	€16,450
Liabilities		
Accounts payable		<u>1,600</u>
Total equity and liabilities		<u><u>€18,050</u></u>

SoFP & IS
are needed
to prepare
SCF.

Illustration 1-11:
FS's and their
Interrelationships

SOFTBYTE SA			
Statement of Financial Position			
September 30, 2017			
<u>Assets</u>			
Equipment		€ 7,000	
Supplies		1,600	
Accounts receivable		1,400	
Cash		8,050	
Total assets		<u>€18,050</u>	
<u>Equity and Liabilities</u>			
Equity			
Share capital—ordinary	€15,000		
Retained earnings	<u>1,450</u>	€16,450	
Liabilities			
Accounts payable		<u>1,600</u>	
Total equity and liabilities		<u>€18,050</u>	
SOFTBYTE SA			
Statement of Cash Flows			
For the Month Ended September 30, 2017			
Cash flows from operating activities			
Cash receipts from revenues		€ 3,300	
Cash payments for expenses		<u>(1,950)</u>	
Net cash provided by operating activities		1,350	
Cash flows from investing activities			
Purchase of equipment		<u>(7,000)</u>	
Cash flows from financing activities			
Sale of ordinary shares	€15,000		
Payment of cash dividends	<u>(1,300)</u>	13,700	
Net increase in cash		<u>8,050</u>	
Cash at the beginning of the period		<u>0</u>	
Cash at the end of the period		€ 8,050	

Income Statement

- ◆ Reports the profitability of the company's operations over a specific period of time.
- ◆ Lists revenues first, followed by expenses.
- ◆ Shows net income (or net loss).
- ◆ Does not include investment and dividend transactions between the shareholders and the business.

Question #2

Net income will result during a time period when:

- a. assets exceed liabilities.
- b. assets exceed revenues.
- c. expenses exceed revenues.
- d. revenues exceed expenses.

Retained Earnings Statement

- ◆ Reports the changes in retained earnings for a specific period of time.
- ◆ The time period is the same as that covered by the income statement.
- ◆ Information provided indicates the reasons why retained earnings increased or decreased during the period.

Statement of Financial Position

- ◆ Reports the assets, liabilities, and equity at a specific date.
- ◆ Lists assets at the top, followed by liabilities and equity.
- ◆ Total assets must equal total liabilities and equity.
- ◆ Is a snapshot of the company's financial condition at a specific moment in time (usually the month-end or year-end).

Question #3

The financial statement that reports assets, liabilities, and equity is the:

- a. Income Statement.
- b. Retained Earnings Statement.
- c. Statement of Financial Position.
- d. Statement of Cash Flows.

Statement of Cash Flows

- ◆ Information on the cash receipts and payments for a specific period of time.
- ◆ Answers the following:
 - ▶ Where did cash come from?
 - ▶ What was cash used for?
 - ▶ What was the change in the cash balance?

HELPFUL HINT

Investing activities pertain to investments made by the company, not investments made by the owners.



DO IT!

Presented below is selected information related to **Flanagan Company** at December 31, 2014. **Flanagan** reports financial information monthly.

Equipment	£10,000	Utilities Expense	£ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Dividends	5,000

Required:

- (a) Determine the total assets of Flanagan at December 31, 2014.
- (b) Determine the net income that Flanagan reported for December 2014.
- (c) Determine the equity of Flanagan at December 31, 2014.

Information related to **Flanagan Company** at December 31, 2014.

Equipment	£10,000	Utilities Expense	£ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Dividends	5,000

(a) Determine the total assets of Flanagan at December 31, 2014.

Equipment	£10,000
Cash	8,000
Accounts Receivable	9,000
Total assets	£27,000

Information related to **Flanagan Company** at December 31, 2014.

Equipment	£10,000	Utilities Expense	£ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Dividends	5,000

(b) Determine the net income reported for December 2014.

Revenues

Service revenue	£36,000
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Expenses

Rent expense	£11,000
Salaries and wages expense	7,000
Utilities expense	4,000

Total expenses	22,000
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Net income	£14,000
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Information related to **Flanagan Company** at December 31, 2014.

Equipment	£10,000	Utilities Expense	£ 4,000
Cash	8,000	Accounts Receivable	9,000
Service Revenue	36,000	Salaries and Wages Expense	7,000
Rent Expense	11,000	Notes Payable	16,500
Accounts Payable	2,000	Dividends	5,000

(c) Determine the equity of Flanagan at December 31, 2014.

Total assets [as computed in (a)]		£27,000
Less: Liabilities		
Notes payable	£16,500	
Accounts payable	<u>2,000</u>	<u>18,500</u>
Equity		<u><u>£ 8,500</u></u>

The End of Chapter 1

Thank You!!!